SuperStore Business Policy Document

Internal Reference Guide - FY 2024

1. Discount Policy

- Standard discount for Consumer segment is capped at 20% on all product categories.
- Corporate segment customers are eligible for discounts up to 30% on bulk orders above $500.
- Home Office segment receives a flat 15% discount on Office Supplies and Technology products.
- Discounts exceeding 40% require written approval from regional manager.
- Furniture category discounts are strictly limited to 20% due to high shipping costs.
- Seasonal discounts apply only in Q4 (October to December) and must not exceed 35%.
- Any discount above 50% is prohibited and will result in automatic order cancellation.

2. Shipping and Delivery Policy

- Standard Class shipping is the default mode for all orders below $200.
- First Class shipping is available for orders above $500 at no additional cost.
- Same Day delivery is available only in West and East regions for Technology products.
- Furniture orders require a minimum of 5 business days for delivery regardless of ship mode.
- Corporate customers receive free Second Class shipping on all orders.
- Orders above $1000 automatically qualify for First Class shipping.
- Shipping costs are absorbed by the company for Home Office segment in South region.

3. Regional Sales Strategy

- West region is the primary revenue driver and accounts for 32% of total company sales.
- East region focuses on Corporate and Consumer segments with emphasis on Technology products.
- Central region has shown consistent losses in Furniture category due to high discount rates.
- South region is an emerging market with focus on expanding Home Office segment.
- Regional managers are responsible for maintaining profit margins above 10% in their territory.
- West region has a dedicated key accounts team for Corporate customers above $50000 annual spend.
- Central region discount approvals are subject to stricter controls due to historical profit losses.

4. Product Category Guidelines

- Technology products carry the highest profit margin at an average of 17% net margin.
- Furniture category is the lowest margin category at an average of 6% net margin.
- Office Supplies are high volume low margin products with average margin of 12%.
- Sub-category Tables within Furniture has been flagged for review due to consistent losses.
- Copiers and Phones are the top performing sub-categories within Technology.
- Bookcases and Chairs are recommended for promotional focus in Q1 and Q2.
- Binders and Paper are the highest volume products in Office Supplies category.

5. Customer Segment Policy

- Consumer segment represents 52% of total orders and is the largest customer base.
- Corporate segment generates highest average order value at $850 per order.
- Home Office segment has shown 18% growth in FY2023 and is a priority for FY2024.
- Consumer segment customers are eligible for loyalty discounts after 5 repeat purchases.
- Corporate accounts with annual spend above $10000 are assigned a dedicated account manager.
- All segment complaints must be resolved within 48 hours as per customer satisfaction policy.
- Home Office customers receive quarterly business reviews from their assigned sales representative.

6. Profit and Loss Guidelines

- Any order resulting in a loss above $500 must be reported to the finance team immediately.
- Products with consistent negative profit over 3 consecutive quarters are flagged for discontinuation.
- Regional profit targets for FY2024 are set at 15% growth over FY2023 actuals.
- Loss making orders due to excessive discounts are charged back to the sales representative.
- Finance team conducts monthly profit audits across all regions and product categories.
- Orders with discount above 40% and negative profit are automatically escalated for review.
- Annual profit target for the company is $350000 with West region contributing 35% of that target.